

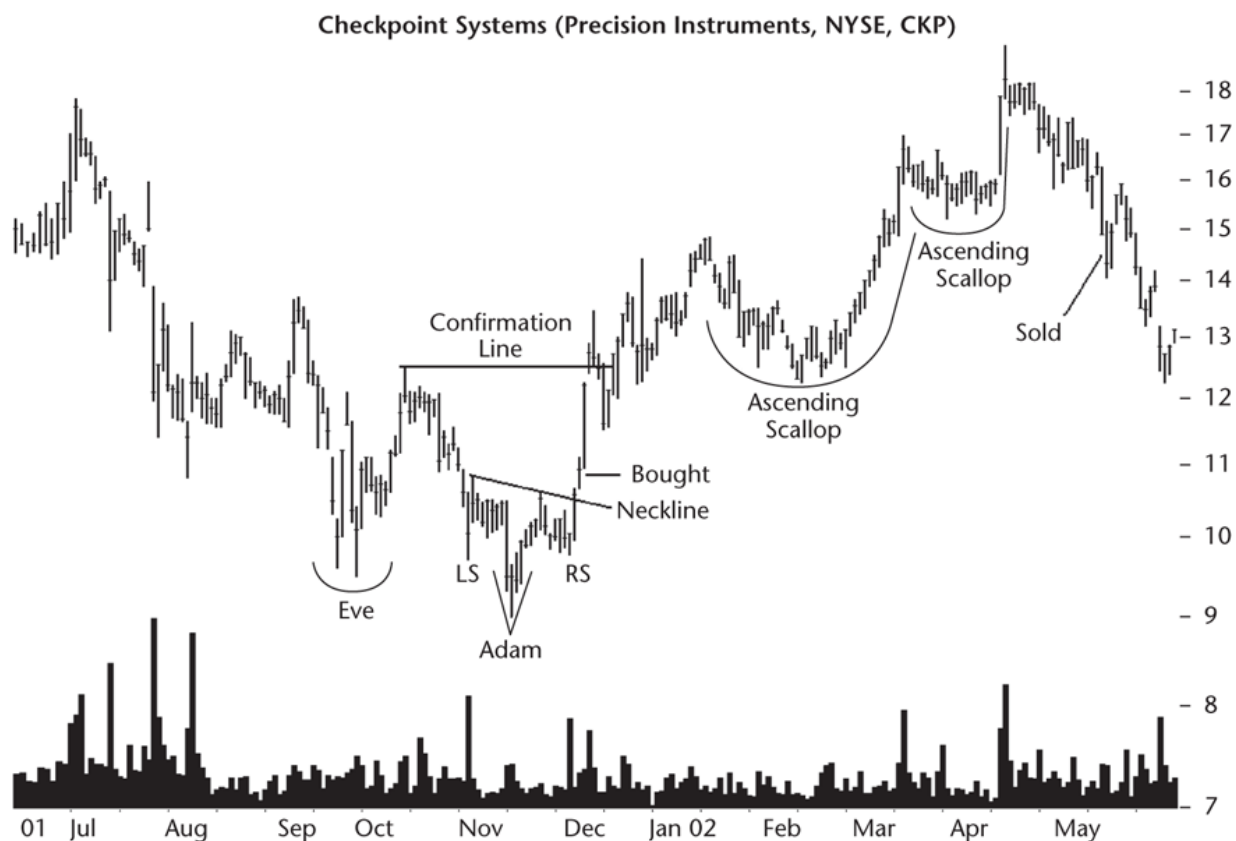


Figure 28.6 As described in the Sample Trade, Willie bought early into this Eve & Adam double bottom. He sold when price dropped below the narrowing, ascending scallop.

“I watched the pattern develop, and lo and behold, a head-and-shoulders bottom appeared before my very eyes.” He drew in the down-sloping neckline and when price closed above it, confirming the head-and-shoulders bottom, he bought the stock and received a fill at 11.00. After that, it took just 2 days for price to confirm the double bottom pattern.

“I rode the stock higher like I was competing in a rodeo, and the stock took on the shape of an ascending scallop”—a rounded turn with a right handle. “When the second scallop appeared, I got concerned.” Sometimes, consecutive ascending scallops get narrower as they appear higher in the price trend. An unusually narrow one sometimes appears just before price peaks.

“So I decided to sell as soon as price dropped below the scallop bowl. That occurred in early May,” and he received a fill at 14.93, for a net gain of 35%—and that was in a bear market.